

INVESTMENT POLICY

I. PURPOSE

The purpose of the investment policy is to set forth parameters that guide the administration of Sound Community Bank's ("the Bank's") investment portfolio. The investment portfolio is managed in a way that maximizes long-term portfolio total return and remains consistent with Sound Community Bank's asset/liability management and liquidity guidelines.

II. OBJECTIVES

The Bank maintains an investment portfolio of high quality investment securities that are managed in a manner consistent with safe and sound banking practices. The characteristics and financial goals of the investment portfolio are complementary to the Bank's broader business strategies and congruent with the Bank's capital policies and risk tolerances.

The Bank's specific investment objectives are provided as follows:

1. **Provide Earnings.** The Bank's investment portfolio is managed to maximize the total return on invested funds in a manner that is consistent with the Bank's overall financial goals and risk considerations. This objective is fulfilled by investing in, holding, and divesting from individual securities that, when considered in combination, contribute to a superior risk/reward for the total portfolio.
2. **Provide Liquidity.** The Bank's investment portfolio must remain sufficiently liquid to meet anticipated funding demands resulting from either declines in deposits and/or increases in loan demand. The Bank makes investments that are marketable and capable of being converted to cash at their market values in a relatively short period of time.
3. **Mitigate Interest Rate Risk.** Portfolio strategies are utilized to assist the Bank in managing its overall interest rate sensitivity position in accordance with the goals and objectives approved by the Asset/Liability Management Committee of the Bank.
4. **Ensure the Safety of Principal.** At all times, the safety of principal is a primary consideration. Upon purchase, the Bank's investments are limited to investment-grade instruments that fully comply with all applicable regulatory guidelines and limitations.
5. **Manage Tax Liabilities.** Portfolio management is conducted in consideration of the Bank's current and projected tax position in order to improve overall profitability by reducing the Bank's tax exposure to its minimum permissible level.
6. **Meet Pledging Requirements.** The Bank utilizes the portfolio to provide collateral for various deposit and funding products such as FHLB advances, public funds, trust deposits, repurchase agreements and Treasury, Tax & Loan accounts.

III. INVESTMENT PHILOSOPHY

The Bank's investment philosophy is designed to allow the investment portfolio to make meaningful contributions to the bank's overall operating performance. Through pre-purchase analysis and ongoing analysis, this philosophy is implemented by focusing on two guidelines:

1. The Bank purchases and owns securities with superior risk/reward characteristics
2. The Bank constructs an investment portfolio of securities which in combination provide superior portfolio risk/reward characteristics.

A security with superior risk/reward characteristics will not necessarily outperform in every rate scenario. Securities with superior risk/reward characteristics are those for which the magnitude of outperformance in some scenarios is sufficiently greater than potential underperformance in other scenarios. With this in mind, the Bank will attempt to offset the potential underperformance of individual securities in certain scenarios by combining them with other securities that outperform in those same scenarios. By doing so, the Bank places greater emphasis on the risk/reward profile of the investment portfolio as a whole, rather than on its constituent securities.

The determination of superior risk/reward characteristics cannot be made on an intuitive basis. Rather, superior risk/reward securities are those that are identified thorough an analysis of their cash flows and potential cash flows, as well as their market value and potential future market value, both individually and in combination with other securities. The role of management is not to "predict" interest rates, but rather to identify what might happen to securities, and more importantly, the portfolio taken in combination, given possible changes in interest rates.

While various measures are used to quantify interest rate risk, a prospective, scenario-based total return analysis is the primary tool used by the Bank to identify superior risk/reward securities, both individually and in combination as a total portfolio. The use of total return supports the Bank's investment philosophy by allowing for comparisons of unlike cash flows using common denominators of time, rate scenarios, and assumptions. Income is simulated to a time horizon (current income) and then the projected market value (then-present value of future income) at that horizon is added to or subtracted from that income. Thus, total return analysis is equivalent to conducting an income simulation and combining that income simulation with an economic value of equity (EVE) calculation at the horizon.

IV. RESPONSIBILITIES

Board of Directors

The Board of Directors has the ultimate responsibility for approving the major policies that guide the investment practices of the Bank. Responsibilities of the Board will include:

1. Reviewing and approving the Bank's investment policy.
2. Reviewing and approving the securities dealers with whom the Bank conducts business.
3. Reviewing and approving safekeeping agents.
4. Monthly reviewing the investment activity and summary reports.

Specific responsibilities of the ALCO to be conducted on a monthly basis will include:

1. Developing investment strategies to optimize investment performance
2. Monitoring investment activities and risk attributes
3. Ensuring compliance with policies and regulatory requirements
4. Reviewing current economic conditions and interest rates
5. Reporting all investment activities to the Board of Directors

Chief Investment Officer

The Chief Financial Officer serves as the primary investment officer and is responsible for the day-to-day management of the investment portfolio. This includes:

1. Buying and selling securities in accordance with approved policies
2. Overseeing the accounting for and safekeeping of the portfolio
3. Ensuring that all routine management duties and responsibilities are handled appropriately.

Purchase Authority: The Chief Financial Officer's individual single security purchase authority will be limited by the parameters outlined in the "Permissible Portfolio Investments" section of this policy. The aggregate authority will be limited to \$10mm for the purchases or sales of all securities within a calendar month; transactions beyond this limit will require the specific approval of the President/CEO.

V. REPORTING REQUIREMENTS & DOCUMENTATION

Board of Directors

To properly discharge its fiduciary responsibilities, the Board of Directors reviews the Bank's investment activity on a monthly basis and requires management to demonstrate compliance with policy guidelines and approved risk limits. The Board of Directors receives the following reports on a monthly basis:

1. All Bond Purchases
2. All Bond Sales and Net Profits (Losses)
3. Portfolio Composition
4. Prospective Total Return Profile
5. Portfolio Total Return Results
6. Portfolio Yield, current Effective Duration, and Current Average Life
7. Credit Risk Considerations
8. Market Appreciation or Depreciation of Bond Portfolio
9. Market Appreciation/Depreciation as a Percent of Tier 1 Capital

ALCO

The ALCO receives and reviews data on current economic conditions, the outlook for interest rates, balance sheet liquidity, and deposit and loan forecasts.

1. Current Portfolio Composition
2. Desired Portfolio Composition
3. Prospective Total Return Profile Over One or More Time Horizons
4. Analysis of Risk Considerations

5. Profitability Goals
6. Liquidity Objectives
7. Portfolio Total Return Results, current Effective Duration, and current Average Life
8. Bank Capital Levels

Documentation

1. Bond Issuer
2. Bond Type
3. CUSIP Number
4. Issue Size
5. Issue Date, Maturity Date, Call Date
6. Coupon, Coupon Frequency
7. Trade Date, Settlement Date
8. Par Value, Original Issue Price, Bank Purchase Price
9. Prospective Total Return Profile
10. Yield, Duration, Weighted Average Life
11. CPR/PSA Assumptions and Analysis
12. Credit Analysis (if required)
13. Designation of Portfolio Segmentation (AFS vs. HTM) at purchase
14. Name of Dealer

The supporting documentation required for each individual sale transaction will include the following:

1. Bond Issuer
2. Bond Type
3. CUSIP Number
4. Rationale for Sale
5. Total Return Profile at Sales Price
6. Trade Date
7. Settlement Date
8. Coupon
9. Price
10. Yield
11. Par Value
12. Name of Dealer

VI. RISK CONSIDERATIONS

As indicated in Section II of this policy, the Bank's investment portfolio is managed in a way that safely maximizes the long-term return on invested funds and remains consistent with the asset/liability management strategies and liquidity needs of the Bank. In order to achieve these objectives, the Bank reviews and analyzes the various risks that may be present within the investment portfolio.

Market Risk

Market risk is the risk to an institution's financial condition resulting from adverse changes in the value of its holdings arising from movements in interest rates, foreign exchange rates, equity prices, or commodity prices. The Bank assesses and measures the market risk of individual investments as well as the portfolio as a whole. The Bank considers prospective, scenario-based total return analysis, along with yield and effective duration, to determine the impact of market risk under different interest rate scenarios. The analysis will be conducted prior to a purchase on the portfolio as a whole and on an ongoing basis. The Bank works to determine which combination of securities produces the best possible risk/reward position for the portfolio as a whole.

Market Depreciation Limits: While overall interest rate risk are managed on an institution-wide basis, the Bank will also establish specific limits for overall price depreciation of the combined Available-for-Sale and Held-to-maturity investment portfolios. Given a parallel shift of the yield curve of **100, 200, and 300 basis points**, the aggregate price depreciation of the investment portfolio may not exceed **30%** of Tier 1 Capital. This calculation will be performed no less frequently than quarterly, and the amounts are tax-adjusted using the Bank's then current estimated effective tax rate.

Credit Risk

Broadly defined, credit risk is the risk that an issuer will fail to perform on an obligation to the Bank. We take appropriate steps to ensure that credit risk in the investment portfolio is effectively identified, measured, monitored, and controlled. These steps include the following:

1. The Bank purchases securities that are statutorily defined as "investment grade". A security is "investment grade" if the issuer has an adequate capacity to meet its commitment over the expected life of the investment, i.e., the risk of default is low and the full and timely repayment of interest and principal is expected.
2. To determine "investment grade" eligibility, the Bank conducts a thorough assessment of the creditworthiness of the issuer or counterparty prior to purchase and as needed, thereafter.
3. The Bank has established concentration limits for individual investments and the investment portfolio as a whole. Such limits define concentrations relating to a single or related issuer, a geographical area, or obligations with similar characteristics.

Liquidity Risk

Liquidity risk is the risk that an institution cannot easily sell, unwind, or offset a particular position at a fair price because of inadequate market depth. In conjunction with institution-wide strategies for asset/liability management, the Bank's investment portfolio must remain sufficiently liquid to meet all operating requirements that may be reasonably anticipated. This is accomplished by structuring the portfolio so that a sufficient amount of investment securities can be converted to cash. Furthermore, since all possible cash demands cannot be anticipated, the portfolio will consist largely of securities with active secondary or resale markets. Available for sale securities may be sold prior to their maturity to provide liquid funds as needed.

Legal Risk

Legal risk is the risk that contracts are not legally enforceable or documented correctly. As part of the investment pre-purchase analysis, the Bank evaluates the enforceability of its agreements before individual transactions are consummated. The Bank ensures that the counterparty has authority to enter into the transaction and that the terms of the agreement are legally enforceable.

VII. ACCOUNTING AND SAFEKEEPING

Classification of Securities

The investment portfolio is managed in accordance with current regulatory and GAAP requirements. At the time of purchase, all securities must be classified as Held-to-Maturity, Available-for-Sale, or Trading, as indicated below:

1. **Held-to-Maturity Securities** represents debt securities that the Bank has the positive intent and ability to hold to maturity. The accounting of securities classified as held-to-maturity is reported at amortized cost.
2. **Available-for-Sale Securities** represents debt and equity securities not classified as either held-to-maturity securities or trading securities. The accounting of available-for-sale securities is reported at fair value, with unrealized gains and losses excluded from earnings and reported in a separate component of shareholders' equity on a tax affected basis until realized.
3. **Trading Securities** represents debt and equity securities that are bought and held principally for the purpose of selling them in the near term. The accounting of trading securities will be reported at fair value, with unrealized gains and losses included in earnings.

Only securities that the Bank intends to hold to maturity are placed in the Held-to-Maturity (HTM) account. All other securities are placed in the Available-for-Sale (AFS) account or the Trading account. The Bank does not operate a Trading account.

Transfers among classification categories are rare. The Chief Financial Officer will clearly and thoroughly document the reason for the transfer of any security from one category to another. Items may only be sold or transferred out of HTM for the following reasons:

1. Less than 3 months to maturity or effective call date
2. Less than 15% of purchase face remaining on MBS/CMO
3. Deterioration of an issue's creditworthiness
4. Change in the tax laws (not tax rates)
5. Major regulatory change (e.g. change in risk weight)
6. Business combination or disposition resulting in an unacceptable asset/liability position or excessive credit risk.

Trading vs. Repositioning

The Bank's investment portfolio is not a Trading account. The ALCO may consider repositioning of securities in the portfolio in order to complement the overall investment and/or interest rate sensitivity objectives of the Bank. The investment portfolio may be repositioned for any of the following reasons:

1. To improve the risk/reward profile of the portfolio in response to changes in the marketplace (interest rates, spreads, credit quality, etc.)
2. To adjust the Bank's interest rate sensitivity position
3. To improve liquidity
4. To improve the credit quality of the portfolio

Fair Value Measurement

At the end of each quarter, the Bank ensures that the reported Fair Value of the investment portfolio is reasonable and supported by reputable independent valuations. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Once fair values are calculated, the Bank determines if any of the losses should be accounted for as "other than temporary impairment" in accordance with the guidelines listed below.

Other Than Temporary Impairment (OTTI)

It is the responsibility of management to conduct a quarterly evaluation of the investment securities portfolio on a security-by-security basis to determine if OTTI needs to be recorded. Generally, if the market price is equal to or greater than the book value, then there is no need to evaluate the security for OTTI. However, the Bank will compare the present value of the cash flows expected to be collected from the security with the amortized cost basis of the security as an additional procedure in evaluating for potential OTTI.

For securities in a loss position of 10% or more, management determines if the security is a candidate for OTTI consideration. If it is probable that the issuer of the security will be unable to pay all amounts due according to the contractual terms of the debt security, then OTTI will be recorded and the security will be written down to fair value and the entire amount of the credit impairment will flow through earnings.

Risk Based Capital Treatment

The Bank follows the Risk Based Capital (RBC) requirements as defined in the instructions to Call Report Schedule RC-R or based upon additional guidance from the Bank's regulators. At acquisition, each security is assigned a RBC weighting as required by those instructions. Any subsequent change in the RBC category is reflected in the RBC weighting in the quarter in which the change occurred. Management also reports to the Board of Directors at the next regularly scheduled meeting any changes the RBC weighting of any security and the resultant estimated impact on the ratios of Tier 1 Capital to Risk Weighted Assets and Total Capital to Risk Weighted Assets.

Safekeeping

Currently, the Federal Home Loan Bank of Seattle is the Bank's only approved safekeeping agent and is listed in Appendix A – Approved Safekeeping Agents. Approval of existing or additional safekeeping agents may be made by the Board of Directors as needed. No Bank-owned or customer-owned securities may be placed for safekeeping with any other institution unless approved by the Board of Directors.

Purchased securities are not to be maintained with the seller but should be transferred or delivered to the safekeeping agent. The Chief Financial Officer will be responsible for recommendations of safekeeping agents based on credit and other criteria. Bank records of investment safekeeping are to be reconciled to reports provided by safekeeping agents at least quarterly.

Selection of Securities Dealers

On an annual basis, the Board of Directors reviews and approves the list of securities dealers with whom the Bank does business. The Bank will purchase and sell securities only through the securities dealers that are on the approved list (Appendix B). The Chief Financial Officer will be responsible for maintaining current and adequate information on approved securities dealers.

Analysis of securities dealers includes the following:

1. The ability of the securities dealer and its subsidiaries or affiliates to fulfill commitments as evidenced by their capital strength, liquidity, and operating results.
2. The dealer's general reputation or financial stability and its fair and honest dealings with customers.
3. Information available from state or federal securities regulators and securities industry self-regulatory organizations, such as the Financial Industry Regulatory Authority (FINRA), concerning any formal enforcement actions against the dealer, its affiliates, or associated personnel
4. The experience and expertise of the sales representative with whom business is conducted.

IX. PERMISSIBLE PORTFOLIO INVESTMENTS

The Bank's investment portfolio must be comprised of high-quality investment securities and money market instruments that are permissible under Federal and State guidelines. The ALCO will use these permissible investments to develop strategies that meet the Bank's stated investment goals and objectives. ALCO strategies evaluate investment options on a total portfolio approach by considering which combination of investment options provide the best possible risk/reward characteristics for the portfolio as whole.

While the ALCO develops investment strategies that assign specific sector allocations on a periodic basis, these allocations will be limited by the maximum diversification guidelines established below. Broad diversification standards provide allocations as a percentage of the total portfolio and as a percentage of Tier 1 capital.

Portfolio Diversification Guidelines

Securities	Maximum % of Portfolio	Maximum % of Tier 1 Capital
Direct and Indirect Obligations Guaranteed by the United States Government		
US Treasury Bills, Bonds, and Notes	100%	NA
Direct Debt Obligations of U.S. Agencies	100%	NA
Mortgage Backed Securities issued by U.S. Agencies	100%	NA
Collateralized Mortgage Obligations Issued by U.S. Agencies	100%	NA
U.S. Agency Securities backed by Home Equity Conversion Mortgages	50%	NA
Structured Notes and Callable Agency Securities	50%	100%
Other Securities Issued by U.S. Agencies	25%	100%
Mutual Funds made up of U.S. Obligations	10%	10%
Obligations Not Guaranteed by the United States Government		
Obligations of U.S. State or Political subdivisions (General Obligation)	50% ¹	200% ¹
Obligations of U.S. State or Political Subdivisions (Essential Purpose Revenue)	50%	100%
Obligations of U.S. State or Political Subdivisions (Other)	25%	100%
Privately Issued Mortgage Backed Securities	25%	100%
Privately Issued Asset Backed Securities	25%	100%
Debt Obligations of Private Corporations	25%	100%
Stock Holdings Permissible for a National Bank	25%	10% ²
Community Reinvestment Act Investments	25%	20%
Money Market Instruments		
Fed Funds Sold	NA	200%
Term Fed Funds Sold	NA	200%
Insured Certificates of Deposit	NA	200%
Uninsured Certificates of Deposit	NA	50%
Repurchase Agreements	NA	50%
Commercial Paper	NA	50%
Banker's Acceptances	NA	50%

Footnotes:

1. The total of all obligations of US State and Political Subdivisions may not exceed 50% of the total portfolio or 200% of Tier 1 capital.
2. Limitations on Stock Holding will be based on the permissible limit for each investment, with the maximum not to exceed 10% of Tier 1 capital.

Direct and Indirect Obligations Guaranteed by the U.S. Government

1. **Direct Obligations of the U.S. Treasury (bills, notes, bonds, etc.)** - Securities issued by the U.S. Treasury. Treasury Bills are issued on a discount basis for maturities of 3 months, and 6 months. Treasury Notes are coupon-paying instruments issued for maturities of 2-10 years, and Treasury Bonds have maturities of 10 years or greater. These securities are actively traded, highly liquid, and are considered to be free from credit risk.

Maximum Portfolio Limit:	100%
Maximum Capital Limit:	None
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	None
Maximum maturity:	15 years

2. **Direct Debt Obligations of U.S. Agencies** - Bonds and notes issued by various government agencies to finance their activities. Agency securities yield a spread above Treasuries with very little additional credit exposure.

Maximum Portfolio Limit:	100%
Maximum Capital Limit:	None
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	200%
Maximum maturity:	15 years

3. **Mortgage-Backed Securities issued by U.S. Agencies** - Pass through securities formed when residential or commercial first mortgage loans are pooled, and undivided interests in the pool are sold. Cash flows from the underlying mortgages, consisting of both principal and interest payments, are passed through to security holders on a pro rata basis. The principal amount of the investment is secured by the underlying loan collateral and credit guarantees from a federal agency. The timing of principal and interest payments on these securities is affected by prepayment rates on the underlying loans, which are, in turn, affected by changes in market interest rates.

Maximum Portfolio Limit:	100%
Maximum Capital Limit:	None
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	200%
Maximum maturity:	30 years
Maximum Weighted Average Life:	20 years

4. **Collateralized Mortgage Obligations (CMOs) issued by U.S. Agencies** - Securities formed by "repackaging" the principal and interest flows from a pool of underlying mortgage-backed securities to form separate classes of securities having different repayment characteristics. Securities can range from a "fast pay" tranche that has first claim on all principal and interest repayments to a residual "Z bond" tranche that resembles a zero coupon bond. There are many varieties of CMOs on the market today having widely varying cash flow characteristics. The cash flows, and consequently, the maturity and price of CMO securities, can be significantly affected by changes in mortgage prepayment rates as interest rates change.

Maximum Portfolio Limit:	100%
Maximum Capital Limit:	None
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	200%
Maximum maturity:	30 years
Maximum Weighted Average Life:	20 years

5. ***U.S. Agency Securities backed by Home Equity Conversion Mortgages (HECMs)*** - These bonds are backed by the full faith and credit of the U.S. Treasury and prepayments are not significantly influenced by relative interest rates. Although the maximum loan term is 50 years, the average life is lower due to maturity events (primarily mortality, mobility, or relocation) and the requirement that servicers buy loans out of the pool that reach 98% of the maximum claim amount.

Maximum Portfolio Limit:	50%
Maximum Capital Limit:	None
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	100%
Maximum maturity:	50 years
Maximum Weighted Average Life:	20 years

6. ***Structured Notes issued by U.S. Agencies*** - Notes issued by U.S. Agencies that have customized features to reflect the preferences of the investor. These securities typically contain embedded options such as caps, floors, and calls, and may have cash flows that are linked in various ways to interest rates and other indices. The timing and amount of cash flows from structured notes can vary greatly over their life, making the evaluation of these instruments a complex process.

Maximum Portfolio Limit:	50%
Maximum Capital Limit:	100%
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	100%
Maximum maturity:	20 years
Maximum Weighted Average Life:	10 years

7. ***Other Asset-Backed Securities issued by U.S. Agencies*** - Securities backed by pools of receivables that are guaranteed by the underlying loan collateral and credit guarantees from a federal agency. Prepayment rates for these securities tend not to be particularly sensitive to interest rate changes.

Maximum Portfolio Limit:	25%
Maximum Capital Limit:	100%
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	100%
Maximum maturity:	20 years
Maximum Weighted Average Life:	10 years

8. **Mutual Funds Made Up of U.S. Obligations** – On a limited basis, the Bank may purchase shares of investment companies, so long as the portfolios of such companies consist solely of obligations that are eligible for purchase without limitation by the Bank. Investments in mutual funds would be done on a short term basis to minimize market price fluctuations.

Maximum Portfolio Limit:	25%
Maximum Capital Limit:	25%
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	25%
Maximum maturity:	3 months

Obligation Not Guaranteed by the United States Government

Credit Risk Considerations: For investments that are not guaranteed by the U.S. Government, the Bank will only purchase securities for its investment portfolio that meet the definition of “investment grade.” Investment grade securities are those where the issuer has an adequate capacity to meet the financial commitments under the security for the projected life of the investment. An issuer has an adequate capacity to meet financial commitments if the risk of default by the obligor is low and the full and timely repayment of principal are expected. Based on specific due diligence criteria for each investment, management will perform pre-purchase and ongoing analysis to confirm that all investment securities meet applicable credit quality standards. Management may use credit ratings from Nationally Recognized Statistical Rating Organizations (NRSROs) to support their analysis; however, such ratings cannot be relied upon or form the sole basis for management’s determination of investment grade. On a general basis, however, the Bank will not purchase securities that are below the four highest NRSRO rating categories (See Appendix C).

When considering whether or not to purchase an obligation that is not guaranteed by the U.S. Government, management will conduct a full analysis of the relevant due diligence factors to determine that the obligation’s overall investment quality. The specific due diligence factors for each type of security are listed below. Management will document and affirm their understanding of the individual security’s credit risk.

1. **Obligations of U.S. States and Political Subdivisions (General Obligation)** - General obligation bonds are debt instruments issued by states and local governments to raise funds for public works. What makes general obligation bonds (or GO bonds for short) unique is that they are backed by the full faith and credit of the issuing municipality. This means that the municipality commits its full resources to paying bondholders, including general taxation and the ability to raise more funds through credit. The ability to back up bond payments with tax funds is what makes GO bonds distinct from revenue bonds, which are repaid using the revenue generated by the specific project the bonds are issued to fund (fees from a public parking garage, for example).

Maximum Portfolio Limit:	50%
Maximum Capital Limit:	200%
Single Security Limit (% of Capital):	15%
Single Issuer Limit (% of Capital)	25%

Maximum maturity:	30 years
Maximum Weighted Average Life:	20 years

Tax Considerations: In developing strategies that involve municipals, the ALCO considers the tax implications of any purchase. The Bank may purchase taxable, bank-qualified, and bank eligible municipal securities. “Bank-qualified bonds” are bonds where the issuer meets certain criteria for the bonds to become bank eligible. When purchased by a commercial bank for its portfolio, the Bank may receive an 80% tax deduction for the interest cost of carry for the issue. A bond that is bank qualified is also known as a “qualified tax-exempt obligation.”

Due Diligence Factors:

- » Confirm that spreads to U.S. Treasuries are consistent with bonds of similar credit quality (for pre-purchase analysis only)
- » Confirm that risk of default is low and consistent with bonds of similar credit quality
- » Confirm that the capacity to pay and assess operating and financial performance levels through internal credit analysis
- » Assess local demographic and economic characteristics.
- » Conduct an evaluation of the soundness of a municipal’s budgetary position and stability of its tax revenues.

2. ***Obligations of U.S. States and Political Subdivisions (Essential Purpose Revenue)*** - Revenue bonds are municipal bonds that are secured by specific income of the underlying project financed by the bond issue. Revenue bonds are used to finance income-producing projects, such as housing, hospitals, lighting systems, parking garages, stadiums, factories, sewer systems, etc. The income generated by these projects pays revenue bondholders their interest and principal. “Essential Purpose” revenue bonds are a subset of revenue bonds that are used to fund essential services such as water, sewer, natural gas and/or electric distribution (excludes electric generation). Because they are not backed by the full faith and credit of a municipality as are GO bonds, revenue bonds carry a somewhat higher default risk for which they offer higher interest rates. Essential Purpose Revenue Bonds, however, have default rates that are lower than other revenue bonds and have risk profiles that are fairly consistent with GO bonds. Revenue bonds should also be evaluated for tax considerations as discussed above.

Maximum Portfolio Limit:	50%
Maximum Capital Limit:	100%
Single Security Limit (% of Capital):	15%
Single Issuer Limit (% of Capital)	25%
Maximum maturity:	30 years
Maximum Weighted Average Life:	20 years

Due Diligence Factors:

- » Confirm that spreads to U.S. Treasuries are consistent with bonds of similar credit quality (for pre-purchase analysis only)
- » Confirm that risk of default is low and consistent with bonds of similar credit quality

- » Confirm that the capacity to pay through internal credit analysis and/or other third-party analytics
- » Assess local demographic and economic characteristics.
- » Conduct an evaluation of the sources and strength of the revenue structure for the municipal authority is required.

3. **Obligations of U.S. States and Political Subdivisions (Other)** – This category covers municipal revenue bonds that are not “essential purpose”. These revenue bonds are used to finance income-producing projects, such as housing, hospitals, stadiums, etc. The income generated by these projects pays revenue bondholders their interest and principal. They are not backed by the full faith and credit of a municipality and repayment is dependent on the success of the project funded. Revenue bonds carry a higher default risk for which they offer higher interest rates. Revenue bonds should also be evaluated for tax considerations as discussed above. Credit due diligence factors are the same as those for essential purpose revenue bonds.

Maximum Portfolio Limit:	25%
Maximum Capital Limit:	100%
Single Security Limit (% of Capital):	15%
Single Issuer Limit (% of Capital)	25%
Maximum maturity:	15 years
Maximum Weighted Average Life:	10 years

4. **Private Label Mortgage-Backed Securities (PLMBS)** – PLMBS are mortgage-backed securities that are sponsored by private companies rather than the U.S. government. PLMBS are generally backed by residential loans that do not conform to the Agencies’ requirements. Unlike single obligor municipal exposures, PLMBS are backed by multiple obligors represented by the individual mortgages underlying the security. PLMBS are rated by credit rating agencies and often feature credit enhancements, such as overcollateralization or letters of credit that are designed to help protect investors from delinquencies or losses on the underlying loans. Because these securities and loans are not guaranteed by a governmental entity, the risk of default is based on the cash flows and underlying collateral backing the security.

Maximum Portfolio Limit:	25%
Maximum Capital Limit:	100%
Single Security Limit (% of Capital):	15%
Single Issuer Limit (% of Capital)	50%
Maximum maturity:	30 years
Maximum Weighted Average Life:	20 years

Due Diligence Factors: The credit assessment for all private label asset-backed securities is conducted in a way that provides the bank a full understanding of the features of the security that would materially affect its performance. To be considered investment grade, management’s credit analysis should demonstrate that the risk of loss is low even under adverse economic conditions.

- » Confirm that spreads to U.S. Treasuries are consistent with bonds of similar credit quality (for pre-purchase analysis only)

- » Confirm that risk of default is low and consistent with bonds of similar credit quality
- » Confirm capacity to pay and assess operating and financial performance levels and trends through internal credit analysis and/or other third party analytics, as appropriate for the particular security
- » Understand the class or tranche and its relative position in the securitization structure
- » Assess the position in the cash flow waterfall
- » Understand loss allocation rules, specific definitions of default, the potential impact of performance and market value triggers, and support provided by credit and/or liquidity enhancements
- » Evaluate and understand the quality of the underwriting of the underlying collateral as well as any risk concentrations
- » Determine whether current underwriting is consistent with the original underwriting underlying the historical performance of the collateral and consider the effect of any changes
- » Assess the structural subordination and determine if adequate given current underwriting standards
- » Analyze and understand the impact of collateral deterioration on tranche performance and potential credit losses under adverse economic conditions

5. ***Privately Issued Asset-Backed Securities (ABS)*** - ABS are essentially the same thing as PLMBS, except that the collateral backing up the securities are assets such as loans, leases, credit card debt, a company's receivables, royalties and so on, and not mortgage-based securities. Like PLMBS, the risk of default is based on the cash flows and underlying collateral backing the security. Therefore, due diligence guidelines and procedures are identical to the guidelines for PLMBS.

Maximum Portfolio Limit:	25%
Maximum Capital Limit:	100%
Single Security Limit (% of Capital):	15%
Single Issuer Limit (% of Capital)	25%
Maximum maturity:	15 years
Maximum Weighted Average Life:	10 years

6. ***Debt Obligations of Private Corporations*** – Corporate bonds are debt instruments issued by corporations for a variety of purposes. In the event of default, bondholders have a prior legal claim over the company's common and preferred stockholders on the assets and income of the firm. These securities are issued in a wide range of maturities and vary greatly with respect to credit quality. Corporate bonds have a higher historical default rate than municipal bonds, so a close assessment of credit quality and comparative risk/reward is essential.

Maximum Portfolio Limit:	25%
Maximum Capital Limit:	100%
Single Security Limit (% of Capital):	15%
Single Issuer Limit (% of Capital)	15%

Maximum maturity: 20 years

Due Diligence Factors:

- » Confirm that spreads to U.S. Treasuries are consistent with bonds of similar credit quality (for pre-purchase analysis only)
- » Confirm that risk of default is low and consistent with bonds of similar credit quality
- » Confirm that the capacity to pay and assess operating and financial performance levels through internal credit analysis

7. **Permissible Stock Holdings** – The Bank may invest in limited stock holdings that are permissible investment for a national bank. Before making a permissible stock investment, the Chief Financial Officer will conduct a review of the FDIC’s permissibility guidelines and ensure that the investment is compliant with regulatory guidelines, including limitations on the amount of the security that can be held in the Bank’s portfolio.
8. **Community Reinvestment Act Investments** – The Bank and its subsidiaries are allowed to make an investment directly or indirectly that is designed primarily to promote the public welfare under the community development investment authority.

Maximum Portfolio Limit:	10%
Maximum Capital Limit:	25%
Single Security Limit (% of Capital):	15%
Single Issuer Limit (% of Capital)	15%

Money Market Instruments

1. **Overnight Fed Funds** - Federal funds, or fed funds, are unsecured loans of reserve balances at Federal Reserve Banks that depository institutions make to one another. The rate at which these transactions occur is called the fed funds rate. The most common duration or term for fed funds transaction is overnight, though longer-term deals are arranged.

Maximum Capital Limit:	200%
Single Security Limit (% of Capital):	100%
Single Issuer Limit (% of Capital)	100% (25% if adequately capitalized)
Maximum maturity:	Overnight

2. **Term Fed Funds** - Federal funds that a bank borrows for a period of more than one day. Generally speaking, term fed funds have a maximum maturity of 90 days. Banks borrow term fed funds when they need to borrow funds for an extended (but still short-term) period of time and wish to lock in a low interest rate.

Maximum Capital Limit:	200%
Single Security Limit (% of Capital):	100%
Single Issuer Limit (% of Capital)	100% (25% if adequately capitalized)
Maximum Maturity:	90 days

3. **Insured Certificates of Deposit** – Certificates of Deposit with other banks that are within the FDIC insurance coverage limits

Maximum Capital Limit:	200%
Single Security Limit (% of Capital):	\$250,000
Single Issuer Limit (% of Capital)	\$250,000
Maximum Maturity:	5 years

4. **Repurchase Agreements** - Repurchase agreements are essentially a funding mechanism whereby the Bank enters into simultaneous agreement to sell a portion of its securities portfolio, and to repurchase it for a specified price on a specified future date. This causes a liability to be created on the balance sheet in the amount of the transaction, while the investment itself remains as an asset on the balance sheet.

Maximum Capital Limit:	50%
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	25%
Maximum Maturity:	3 months

Short Term Corporate Obligations: Like other Corporate Debt, short term obligations carry a level of credit risk with the issuer. Before entering into these arrangements, management must perform credit due diligence to ensure that the investment meets the definition of investment quality.

1. **Commercial Paper** - Unsecured short term promissory notes issued by large corporations, and usually backed by lines of credit from major banks. These are short term instruments carrying maturities of 270 days or less, with most of the paper being issued for 30 days or less.

Maximum Capital Limit:	50%
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	25%
Maximum maturity:	30 days

2. **Banker's Acceptances** - Closely resembling commercial paper in form, these instruments result from international trade transactions. These are irrevocable short term obligations of banks, supported in addition by the goods underlying the original trade. Banker's acceptances are considered less risky than commercial paper, and consequently offer slightly lower yields

Maximum Capital Limit:	50%
Single Security Limit (% of Capital):	25%
Single Issuer Limit (% of Capital)	25%
Maximum maturity:	1 year

APPENDIX A

APPROVED SAFEKEEPING AGENTS

Approval Effective July 23, 2013

NAME OF INSTITUTION

1. Federal Home Loan Bank of Seattle
1001 Fourth Avenue, Suite 2600
Seattle, WA 98154
(800) 973-6223

APPENDIX B

APPROVED DEALERS IN SECURITIES

Approval effective July 23, 2013

NAME OF DEALER	APPROVED TRADE LIMIT
1. Performance Trust 500 W. Madison St Suite 450 Chicago, IL 60661 (800) 843-6284	\$5,000,000
2. Stern Agee 800 Shades Creek Parkway Suite 700 Birmingham, AL 35209 (800) 240-1438	\$5,000,000

The limit for unsettled trades with any of the above dealers is \$10,000,000.

APPENDIX C

INVESTMENT POLICY

QUALITY RATINGS

Standard & Poor's	Moody's	Fitch	Investment Grade
AAA	Aaa	AAA	Highest Quality (Best quality, smallest degree of investment risk)
AA	Aa	AA	High Quality (Often called high-grade bonds)
A	A	A	Upper Medium Grade (Many favorable investment attributes)

BBB	Baa	BBB	Medium grade (Neither highly protected or poorly secured)
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Speculative & Defaulted Issues:

BB	Ba	n/a	Somewhat speculative (Have speculative elements)
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B	B	BB	Speculative (Lacks characteristics of a desirable investment)
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CCC	Caa	B	Highly Speculative (Bonds in poor standing)
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CC	Ca	CC	Most Speculative (Poor prospectus)
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C	C	C	Investment Default (Extremely poor prospects)
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D	---	D	Default
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APPENDIX D

INVESTMENT POLICY MUNICIPAL DUE DILIGENCE CRITERIA

Municipal Due Diligence Factors	Source Documentation *	Decision Criteria
Confirm that spread to U.S. Treasuries is consistent with bonds of similar credit quality	› Bloomberg Pricing Matrix (or other reputable pricing service)	› Securities purchased should normally price at +/- 50 bps of the stated average for pricing to be considered "consistent."
Confirm that risk of default is low and consistent with bonds of similar credit quality	› Third Party Market Research - e.g. Moody's Default Report › NRSRO Rating & Analysis › Issuer Official Statement › Continuing Disclosures › Insurance Coverage	› Historical defaults rates for sector do not indicate a high probability of default. › NRSRO Rating is "investment grade." › General Fund has a positive balance. › Debt service coverage is sufficient to service obligation. › Insurance coverage provides additional credit enhancement (if available).
Confirm capacity to repay through internal credit analysis and or third party analytics	› NRSRO Rating and Analysis › Issuer Official Statement › Continuing Disclosures	› NRSRO Rating is "investment grade." › General Fund has a positive balance. › Debt service coverage is sufficient. › No significant adverse disclosures or negative trends reported.
Understand local demographics/economics	› Unemployment Rate › Yearly Population Change › Average Annual Incomes › Single family Home Prices	› The geographic location that is defined as the General Obligation assessment area should exhibit acceptable trends in assessed value, employment, and incomes in comparison the state and nation.
Evaluate the soundness of a municipal's budgetary position and stability of its tax revenues (General Obligation)	› Issuer Official Statement › Continuing Disclosures Provides information on the initial terms of the bond and ongoing data on the financial and operating condition of the issuer.	› The area that is defined by the official statement should exhibit acceptable trends in assessed value, employment, and incomes that support the financial position of the issuer.

Evaluate the source and strength of the revenue structure for the municipal authority (Revenue)	› Issuer Official Statement › Continuing Disclosures	› The revenue stream supporting the debt should exhibit low substitution risk, low risk in collections and delinquencies, have acceptable debt service coverage ratios, and the issuer shall have the capacity to raise rates.
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* All of the listed information can be obtained independently at the following websites:
www.bloomberg.com; www.moody.com; www.standardandpoors.com; www.emma.msrb.org;
www.munios.com; www.census.gov; www.bls.gov; www.pewstates.org; www.rockinst.org;
www.muninetguide.com; www.city-data.com